

Bajaj Finserv Ltd (BAJAJFINSV)

Sector: Financials

ROE

25.9%

ROCE

11.4%

D/E

4.79x

OPM

37.0%

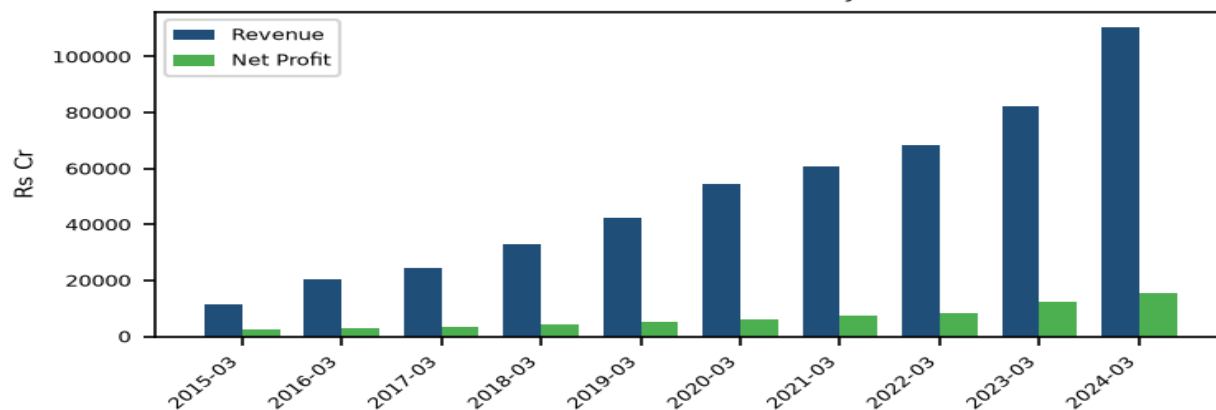
Revenue CAGR 5yr

21.0%

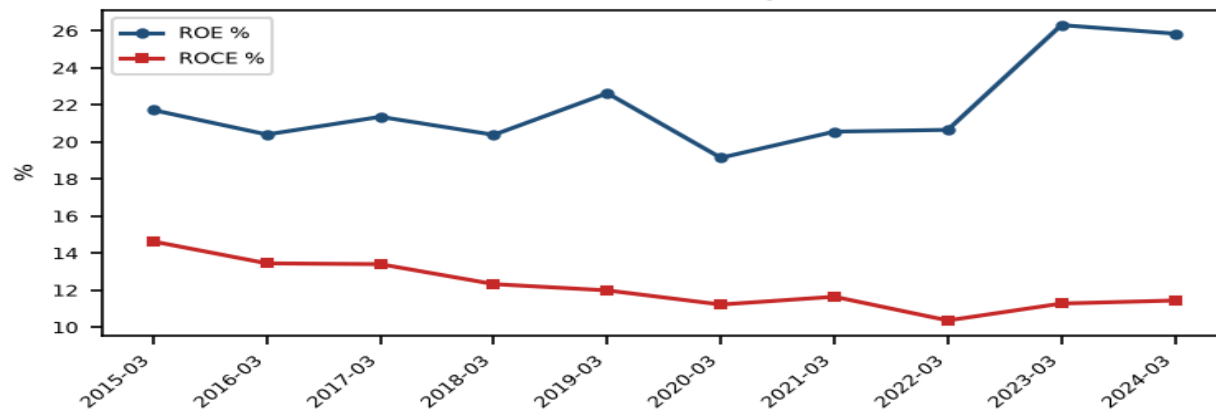
Free Cash Flow

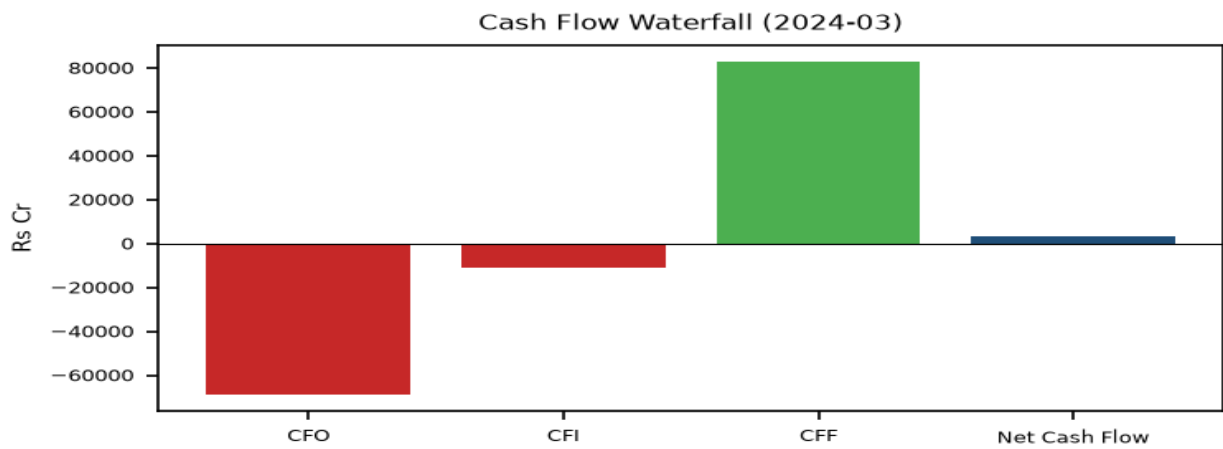
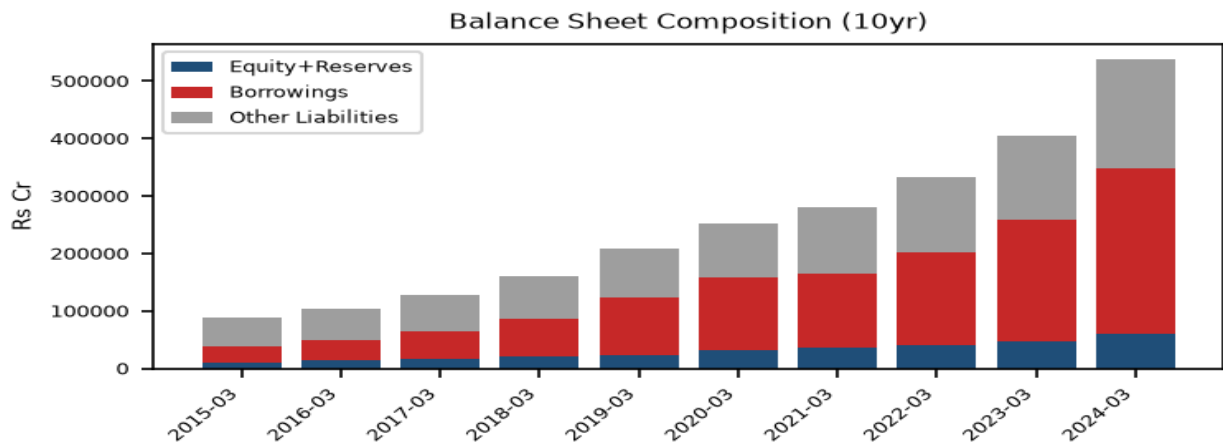
Rs -79,634 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Growth Funded by Debt